

I removed them from the presentation. Not all stocks covered the entire range, and some have the audacity to no longer trade. Perhaps they're shy.

Reversal (R), continuation (C) occurrence. By definition, a double bottom acts as a reversal of the downward price trend when price breaks out upward from the pattern.

Average rise. The average rise is a smidgen above the average shown by all chart patterns (42.4%), placing the performance rank for the pattern at 17 out of 39 patterns. That's slightly better than midrange.

Standard & Poor's 500 change. As double bottoms were climbing 43%, what was the general market doing? The S&P climbed 13%, helping individual stocks to climb as well. Technically, that's not really accurate, is it?

The average is composed of 500 stocks, and as a group, they moved higher from the date of the double bottom's breakout to the date of the ultimate high. However, one could argue that the enthusiasm shown by the group encouraged investors and traders to buy stocks and the rising tide lifted all boats.

Days to ultimate high. How long does it take to reach the ultimate high? Answer: 7 months on average. Thus, be patient but do not fall asleep at the switch. Not all double bottoms will take that long before starting a massive decline (one that either takes price down by more than 20% or below the bottom of the pattern).

How many change trend? I like to see values above 50% for chart patterns. To qualify for a trend change, a stock must see price rise more than 20% after the breakout. The average for all chart patterns is 55%, so Adam & Eve double bottoms slightly outperform the other pattern types.

[Table 27.3](#) shows failure rates. How do you read the table? Let me give you a few examples. In bull markets, 12% of the double bottoms will fail to rise more than 5%. Half will fail to rise 25%.